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Project 2

4/30/2026

Boston College v.s. Walmart Credit Analysis

I. Recommendation

Up front, I would invest the \$200mm in the BC-backed bond rather than the Walmart-backed bond. On the surface, Walmart certainly looks like an attractive option. Given this business's domination of its market, it makes sense that Walmart would have a slightly higher credit rating than Boston College (AA v.s. AA-). This consistent success is publicly apparent, as Walmart surpassed \$1T in market capitalization recently.

Nevertheless, the horizon holds a different answer as to our investment decision. The long-term nature of this commitment changes the essence of this choice from a today-facing profit decision to a forward-looking forecast of the success of these two entities. As one of the most prestigious universities in the nation, Boston College has been delivering quality Jesuit education to its students since 1863. These sorts of private institutions have endured centuries, providing the same service during their existence. On the opposing side, Walmart is a business that is continually forced to adapt to new technology, cultural forces, and regulations. The stability associated with private colleges certainly juxtaposes what one will find within corporations, and I would argue that this is especially true in Walmart's case.

II. Current Rates Environment

As of the writing of this section (4/28), this was the US Treasury yield curve.

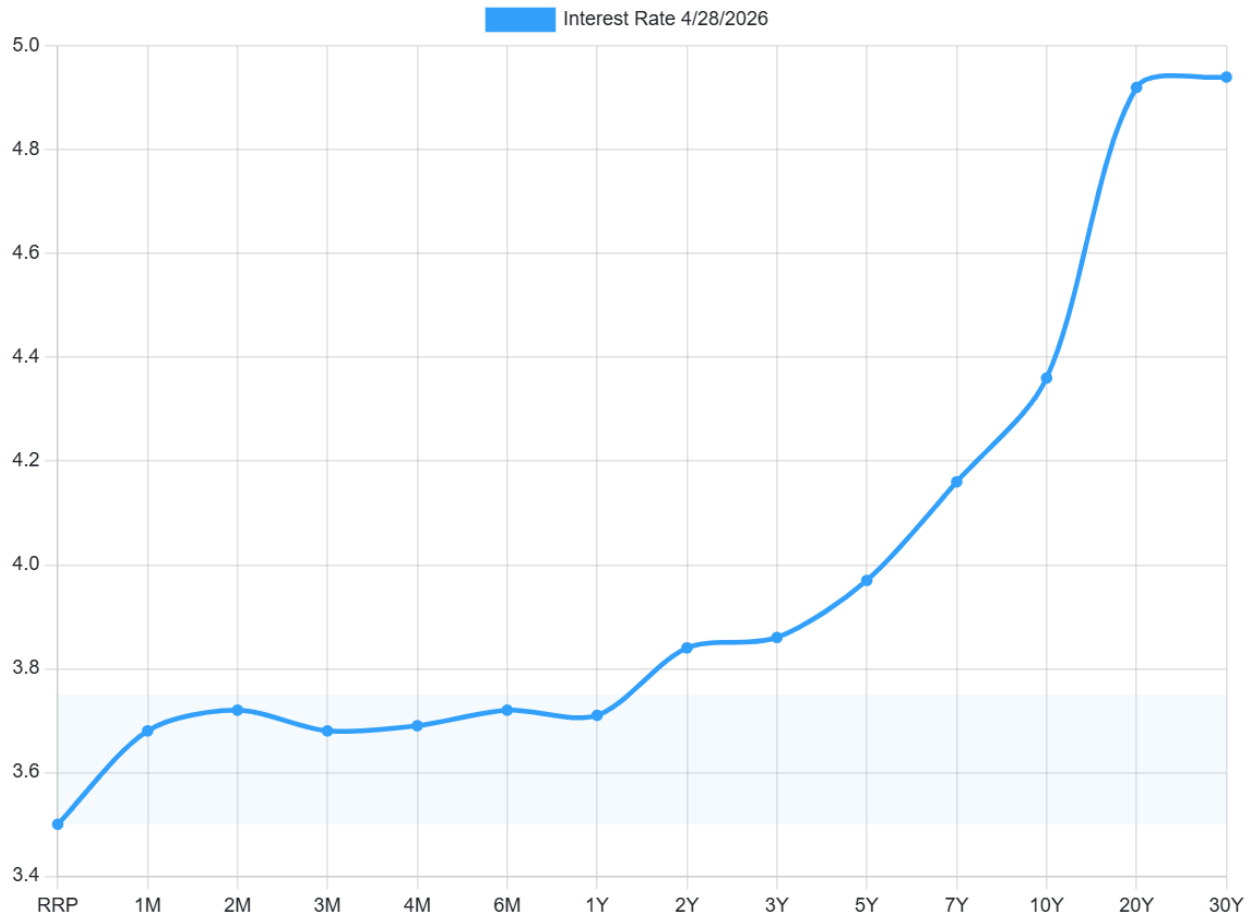


Figure 1: US Treasury yield curve as of 4/28/2026

The most important insight here is the 30Y rate, which sat at 4.94%. This is a 6 bps difference from the bond's coupon. Given the fact that one would expect an AA bond to have a higher yield than a risk-free asset, this difference feels quite minimal. In summary, this development lends itself to the conclusion that the market may be understating the risk of the bond. Since this is the case, it would make sense to base this investment decision on safety. I believe that Boston College fits this billing, which will be touched upon at length later.

III. Issuer Profiles

Metric	Boston College (FY25)	Walmart (as of 1/31/2025)
Total revenue	~\$1.2B	\$681.0B
Net income	Mission-driven (~breakeven)	\$19.4B
Total assets	\$7.7B	\$260.8B
Total liabilities	\$2.1B	\$163.4B
Endowment / liquid investments	\$4.3B	n/a (no equivalent)
Senior unsecured rating	AA-	AA
Years in current business form	162	63

Boston College possesses a student enrollment figure of roughly 15,000 (across both undergraduate and graduate programs). According to CollegeSimply, the estimated cost of attendance is \$89,605 per year, making this one of the most expensive schools in the nation. In 2025, the university possessed a bonds payable metric of ~\$1.8B, which was up from 2024 by roughly \$300M. These financial statements indicate that the board of trustees is open to and partaking in the act of new borrowing. This makes the situation at hand seem very feasible.

Walmart is one of the most recognizable brands in the United States. Offering anything from video games to groceries, they have remained flexible throughout their

domination of retail. With a credit rating of AA, they possess an excellent standing in the borrowing space.

Both of these entities look attractive from this credit analysis standpoint. Pitting a retail giant of our time against a hallowed academic powerhouse makes for an interesting matchup that is suitable for a Four Cs analysis.

IV. Credit Analysis: Four Cs

Character

From an inside perspective, Boston College has high character. Governed by the board of trustees, which generally consists of dedicated, generous alumni and flagship campus figures, incentives are not a key cause of concern. They are strong in their stance against excess spending from the school's endowment. Within the university's financial document, the statement reads, "The University does not intend to spend from board-designated endowment funds (Note I) other than amounts appropriated for general expenditure as part of the annual budget approval and appropriation process." This reluctance seems to characterize an organization that is financially conservative and scrupulous about remaining in good standing. Their essentially net-even operating model could make them susceptible to tuition-related pressures (as is the case with most schools), but this long-standing practice can be viewed as a positive character indicator, too. Rather than being a stress factor, it more or less echoes their commitment to financial stability and a model that prioritizes reinvestment. The predictable, steadiness-emphasizing nature of the university's financial decisions may lead

bondholders to take this as a sign that the university is well insulated from worst-case scenarios, thus decreasing default risk.

Another key point related to Boston College's character is the absence of shareholders. Without profit pressure from this type of group, events such as dividends and share buybacks could never force the institution's hand to make a decision that increases volatility. Rather than adding excess leverage because of shareholder demands and constraints, BC pours money into its endowment steadily. Without shareholders, bondholders enjoy a sense that the organization's decisions and priorities are far more focused on their interests.

Like Boston College, Walmart possesses a longstanding culture of strong leadership and financial discipline. This firm is primarily owned by the Walton family, as well as other prominent institutional investors like Blackstone. In fact, the Walton family controls roughly 46% of all Walmart shares, making them far and away the majority owners. The family continually emphasizes that they will proceed into the future with this leadership structure. A 2024 media release reads, "As part of their commitment to Walmart's success, the Walton family believes responsible ownership requires thoughtful planning for the future." Stable leadership is often a positive sign for bondholders interested in a company's willingness to pay. With a stability-focused family in power, bondholders feel more confident that activist forces are not driving company decisions.

Nevertheless, Walmart does face a weakness that Boston College does not have in that equityholders may dilute bondholder confidence. Walmart has seen dividends grow in 51 consecutive years, with the largest changes occurring recently. While this is

a great sign for business operations, bondholders may question this corporation's priorities and where they lie within this totem pole. Even the public firms with the very best leadership teams face these pressures, whereas an educational institution will never experience this.

Empirical finance studies suggest that dividends do not change significantly over time. A study from Brav, Graham, Harvey, and Michaely suggests that financial executives view dividends as "Sticky. Inflexible. Smooth through time." For a bondholder, this may be a difficult description to reconcile. As executives try to maintain dividend payouts through tough times to avoid negative sentiment, they are increasingly incentivized in ways bondholders would view unfavorably. From this outside perspective, it is clear that for-profit, public companies face forces that non-profits simply do not.

Capacity

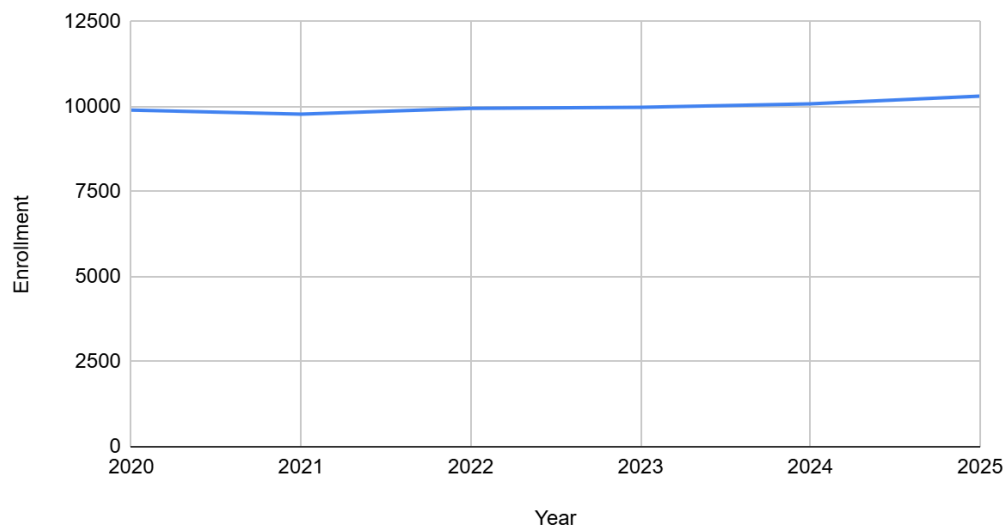
From a snapshot view, Walmart's capacity is quite strong. Their balance sheet metrics mentioned before are staggeringly impressive in many regards. With free cash flows totaling roughly \$15B, there's no doubt that Walmart's short-term future is more than accounted for. They have maintained a consistent amount of long-term debt, as shown in the graph below.



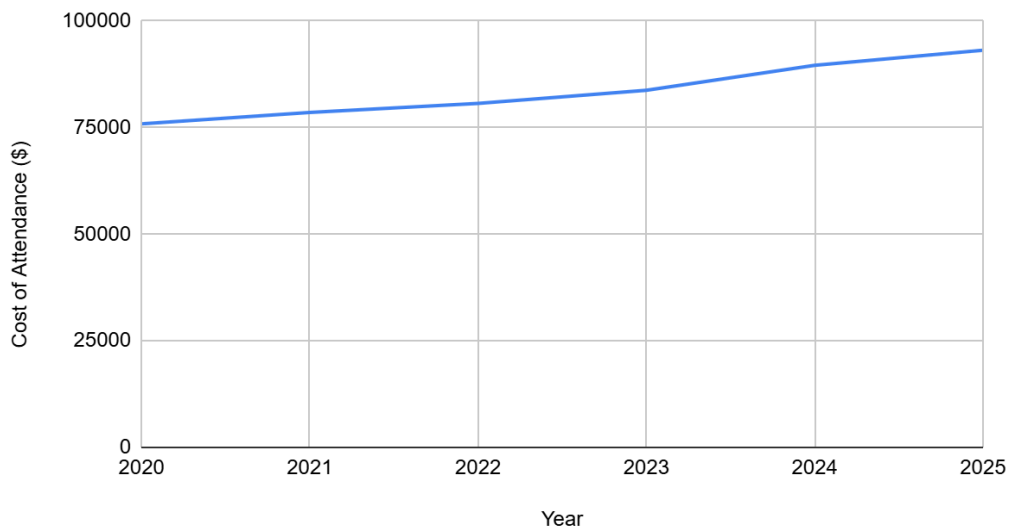
Figure 2: YoY Quarterly Change in Long-Term Debt (WMT)

Boston College's side is harder to assess, as the aforementioned non-profit operating model renders traditional financial statement analysis more powerless. So, the questions one can turn to lie in long-term revenue sustainability. Will Boston College's current tuition-based revenue stream continue firing on all cylinders?

Enrollment by Year



Cost of Attendance by Year



Figures 3-4: BC cost of attendance and enrollment over time

Looking at these data trends certainly suggests that they are fortified from a capability standpoint. As the cost of attendance has increased, enrollment has remained stable and even slightly increased. Demand for higher education sees a level of inelasticity that is virtually unseen anywhere else. As more capital flows to BC, they are able to reinvest it into housing expansions, driving a revenue engine that insulates the school from default.

From an outside view, private, well-endowed universities historically have hardly ever folded. Enrollment pressures generally impact small colleges, while state funding risk is never a concern in the private sphere. At the same time, these universities incur debt, sometimes at increasing rates (as we saw with BC). This observation really increases the attractiveness of issuing to these institutions. On the other hand, there are multiple existing retail horror stories. From Toys R Us to Sears, this industry clearly has seen massive defaults. Walmart's adaptability is quite commendable, while they boast one of the strongest sets of financial metrics of any public firm. However, given my earlier treasury rate assessment that concluded we should aim for safety in our investment choice, academic groundings seem firmer than retail groundings. While a Walmart default is a tail event, its probability is nonzero.

Collateral

If Boston College entered a state of distress, it would have two large sources of assets that dominate this consideration. Their endowment represents the first consideration. It consists mostly of securities that could be easily liquidated, but they have invested in a significant amount of private equity funds and real estate that would

take years to offload in a fire sale. The other largest commitment they have is also in real estate. They own some of the most gorgeous academic buildings nationwide in one of the wealthiest towns in the United States. While real estate can pose as an obstacle in worst-case scenarios, this is one of the most competitive, high-demand markets in the world. Regardless of this, the security-centered nature of their endowment scores well in this category. Given the Heights article indicating that BC's endowment success in 2021 was tied to a booming stock market, it seems more than likely that their endowment is made up of enough market-correlated, liquid assets that should reassure senior debtholders.

As stated in the previous table, Walmart's total assets added up to \$260.8B in 2025 (which we are using to compare directly to BC). This figure looks quite strong on the surface, but roughly \$120B of this comes from PP&E. Inventories totaled roughly \$56B. As a whole, Walmart's asset base is relatively illiquid. They possess around \$9B in current cash, which looks like a phenomenal figure. However, they also have accrued \$33.4B in long-term debt. It does not seem to me that their current asset base covers their debt from a liquidity standpoint.

One must also consider how each organization's collateral value relates to its revenue generation. With Boston College, their securities holdings would not have a meaningful correlation with tuition revenue. As we discussed previously, demand for high-level education is remarkably inelastic. So, if a large-scale negative tuition event occurred, I would not expect their liquid holdings to causally decline, as well. Walmart does not enjoy this positive. Walmart's property and plants would only be of buying interest to competitors, who would also likely suffer in times when Walmart is under

stress. At the same time, this stress would probably be caused by low demand, leaving Walmart with a large set of inventory they would have trouble getting rid of. In summary, Walmart looks well-collateralized when one only looks at the total asset base figure. When one digs deeper into this metric, they would see that a fire sale could go quite poorly for debtholders. Boston College enjoys low correlations in this respect, bolstering this credit assessment.

V. Premortems: Imagining Worst-Cases for Both Parties

Boston College

Scenario 1: Reputational Damage

During its history, Boston College has generally enjoyed a fantastic reputation amongst peers and outsiders. However, even colleges with top-tier standings struggle with scandals occasionally. For example, a former student sued BC for mishandling an assault case in 2019, and BC paid \$100,000 to the student as a result of the dispute. Horrible situations like these can take a toll on universities, driving potential students away from campus. No event of this nature has caused major solvency issues for BC in the past, but debtholders should always brace for a potential impact.

Worst Case: A large-scale scandal hits BC, impacting its endowment funds and decreasing student interest.

Scenario 2: Federal Policy Changes

The Tax Cuts and Jobs Act of 2017 imposed a small tax on endowment investment income. This policy is not atypical of the Trump administration, as he has continuously targeted big academia through visa attacks and research funding cuts. If the federal government perpetuates these policies over the next 30 years, that certainly

should be a cause for concern for elite private schools like BC. In terms of international student tuition, BC has a relatively low exposure to the risk of seeing a decline, as only around 6% of the student body resides outside the United States.

Worst Case: The political standing against private colleges that Trump has introduced continues to gain momentum, resulting in endowment taxes and other regulatory pressures. This causes a long-term decline in financial stability and educational demand.

Scenario 3: Artificial Intelligence Negatively Impacts Higher Education

This is the most theoretical of these three scenarios, but the potential impact of AI on university demand must be acknowledged. If these models continue exceeding expectations and thriving as sources of knowledge, could they devalue a high-level degree? If many junior-level employees who came from solid undergraduate backgrounds see AI replace their jobs, will they still want to go to college? Despite preceding technological innovations, BC's educational demand has remained inelastic. Thus, I think an upheaval of this nature occurring in the next 30 years is unlikely, at least for a prestigious university like Boston College. However, this must not be ignored.

Worst Case: AI steals the value of higher education, causing a steep decline in the economic viability of institutions.

Walmart

Scenario 1: Physical Retail Decline

As the economy and world as a whole shift to digital structures, it is worth questioning Walmart's position as a physical retail seller. To their credit, they have performed well in digitizing their business, proving their adaptability. However, continued

competition with firms like Amazon and potentially AI-mediated commerce could place strains on Walmart's current business model. The continued acceleration of e-commerce is quite probable, and it is not a positive indicator for Walmart.

Worst Case: Walmart's in-person sales free-fall, rendering their property assets void of value.

Scenario 2: Activist Pressure

As stated before, the Walton family owns a large portion of Walmart. However, asset managers like BlackRock have nudged their way in, leading to an increased concern of financial engineering within this firm. In theory, an activist party could rally the support of minor stakeholders looking for a return, forcing the Waltons to make aggressive, leverage-based moves that hurt the confidence of bondholders.

Worst Case: Long-term debt skyrockets with investor pressures and Walmart's credit rating falls.

Scenario 3: International Frictions

Walmart draws much of its success from international sources. While Walmart has shown more and more willingness to move away from this strategy (they went from 80% of products made in China in 2018 to 60% in 2023), they still rely heavily on non-domestic production. Specifically, the Trump administration's push to decrease reliance on international sources is a reason for concern for Walmart. If policies continue to be shaped by this idea, this could mean more tariffs and regulatory frictions that hurt Walmart's business.

Worst Case: The federal government continues imposing these frictions, causing Walmart's current model to be far less economically viable than it was previously.

VI. Further Outside Data Analysis

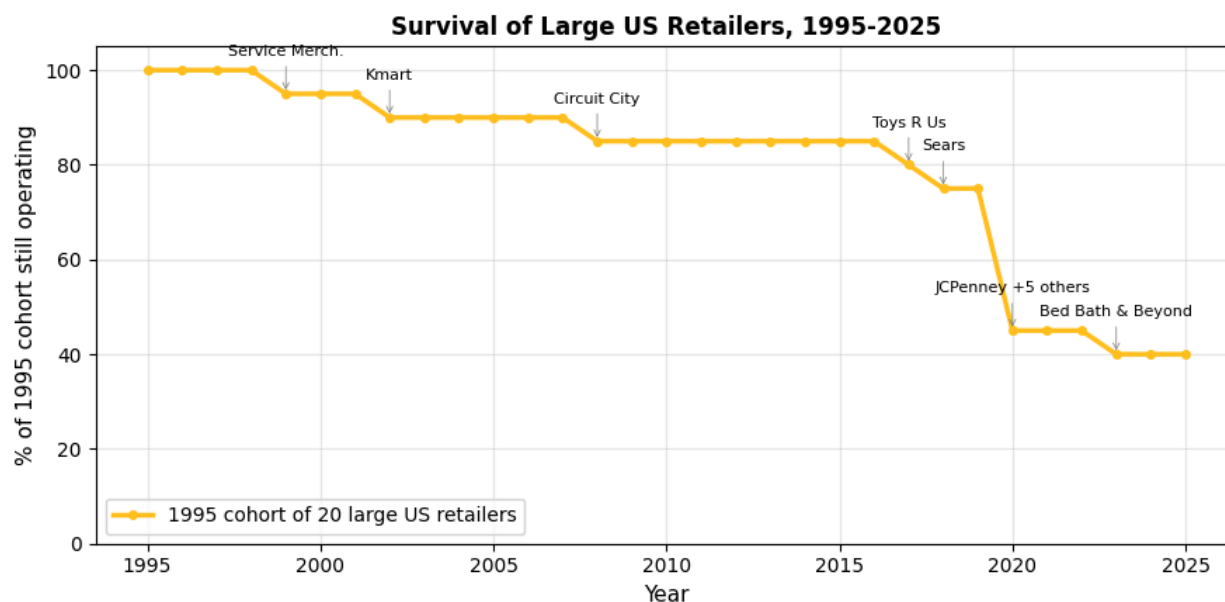


Figure 5: small-sample analysis of retailer survival from 1995-2023

Full cohort: Walmart, Sears, KMart, JCPenney, Toys R Us, Circuit City, Costco, Target, Home Depot, Lowe's, Macy's, Nordstrom, Best Buy, BB&B, Lord & Taylor, Neiman Marcus, Stein Mart, Pier 1, Stage Stores, Service Merchandise

Before analyzing this graph it must be stated that this is a small sample of retail firms of similar size to Walmart. Many have different product offerings, and this must be acknowledged when discussing a good proxy for the survival of Walmart. However, this graph is meant to state the fact that retailers see significant negative events over ~30 year horizons. While product offerings may differ, these firms shared similarities in business model, and it does lend itself to volatility down the road.

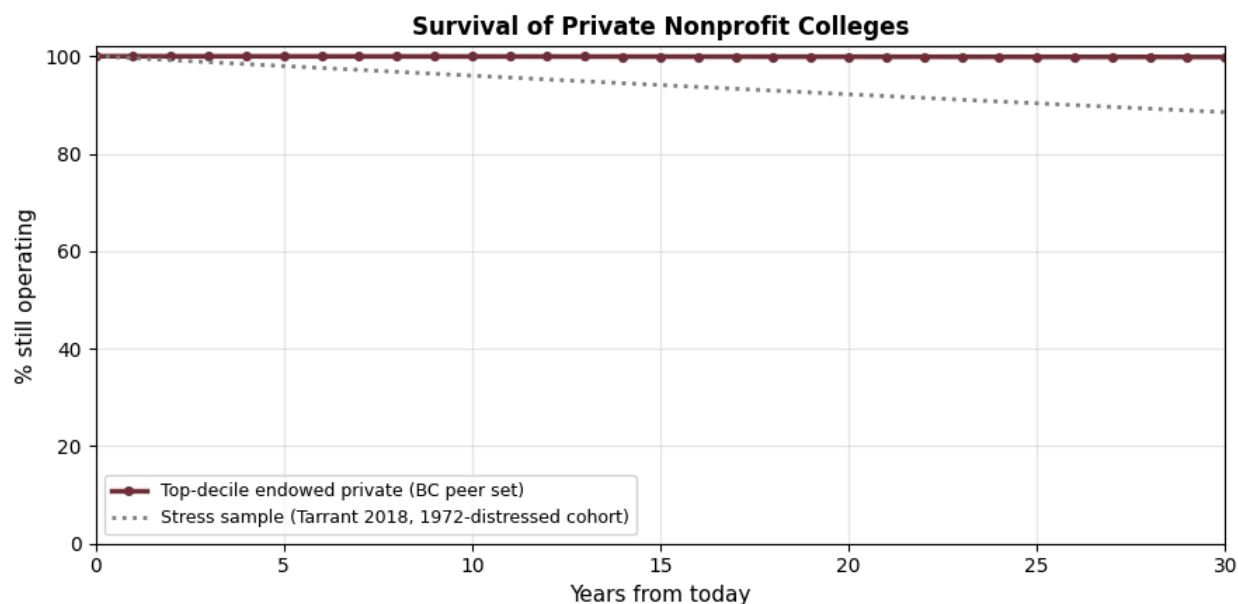


Figure 6: Nonprofit college closures, top endowment versus stress sample

One thing to note about this graph is that it assumes linearity of closures; this is certainly not necessarily the case, this was done for visual simplicity. The stress test was developed from a study produced by Melissa Tarrant in 2016 that investigated “invisible colleges”, which were defined as small, non-profit organizations. From 1972-2012, over 84% of these colleges remained in operation. This sample includes schools far smaller and far less wealthy than Boston College, and *still* the long-term survival rate is substantial. As for the top line, I really was unable to find any examples of schools of BC’s caliber that have folded during this timeframe. Overall, I think it is telling that even in worst-case situations (this time period contains 2008 crisis and other big events), non-profit private universities tend to stick around.

VII. Conclusion

So, my investment recommendation here is for Boston College. The current rate environment suggests that the decision should heavily lean towards the safest option. From a credit analysis standpoint, the BC-backed bond wins this comparison. In terms of capacity, the steady nature of their revenue streams should embolden bondholders. Furthermore, with their lack of shareholders, they are incentivized to maintain a stable financial environment. The liquidity of their endowment would serve bondholders well in doomsday events. Overall, Walmart looks more attractive upfront, but after digging into each organization, a different conclusion surfaced.

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